Bafin Federal Financial Supervisory Authority

Income protection insurance

If you are no longer able to work in your profession, you can quickly run into financial difficulties. Income protection insurance fills the gap if your income is permanently lost due to health reasons.

What benefits does income protection insurance offer?

Income protection insurance protects you against financial risks if you are no longer able to work for health reasons. It safeguards your livelihood and your socio-economic status, at least in part. Income protection insurance is a tye of life insurance.

In the event of a claim, the insurer pays a monthly pension specified in the contract. In addition, you are no longer required to pay premiums. According to the law, you are considered occupationally disabled if an illness, injury or loss of strength prevents you from performing your last occupation, either fully or partially, on a long-term basis. This impairment must exceed what is normal for your age.

If your occupational disability is confirmed, the insurer pays the agreed pension and exempts you from paying premiums. In most cases, an occupational disability rating of 50% is sufficient for the insurer to pay out – even if your income does not decrease.

Income protection insurance is available as a standalone policy or as an add-on to life insurance. You can also arrange cover for your dependants in the event of your death.

Who can take out income protection insurance?

Private income protection insurance is available not only to salaried employees, but also to freelancers and self-employed people. Even those working without pay can take out this insurance.

What do I need to bear in mind?

Pre-contractual disclosure obligations

Answer the insurer's questions fully and truthfully before signing the contract – for example, regarding your health or any special accident risks such as extreme sports.

Be aware: If you conceal pre-existing conditions or risks, the insurer may contest the contract or withdraw from it on the grounds of fraudulent misrepresentation. Pre-existing conditions do not necessarily mean that you will be refused income protection insurance. However, the insurer may adjust the terms, for example by excluding cover for occupational disability resulting from the pre-existing condition or by applying a risk premium.

Referral clauses

The insurance generally covers the last occupation you carried out without health restrictions. If the policy contains a referral clause, the insurer may refuse to pay benefits. This can happen if you are no longer able to carry out your previous occupation for health reasons but could work in a different, equivalent occupation. This "abstract referral" also applies if you cannot find employment in the other occupation – the insurance only protects against health-related risks, not against those arising from the labour market.

When you file a claim, the insurer may assess whether another occupation is suitable for you. However, this occupation must actually exist and largely correspond to your previous occupation in terms of job requirements, earnings and socio-economic status. For example, a doctor may not be referred to a job as a cleaner. You will have to accept a slight reduction in income, though. Alternatively, you can agree on a specific referral in the contract. In this case, the insurance provider may only refer

you to a job that is actually performed and that meets the specified criteria.

Insurance premium payments

You are required to pay the premiums on time.

Obligation to cooperate when claiming benefits

When you claim benefits, you are required to actively cooperate. For example, you must submit the necessary documents yourself. Make sure you familiarise yourself in good time with the exact requirements set out in the general insurance policy conditions for income protection insurance or the terms and conditions for supplementary income protection insurance.

Where can I take out income protection insurance?

You can take out private income protection insurance directly with the insurer – either at their office or online. Alternatively, you can turn to brokers, agents or independent advisors.

Be sure to do your research thoroughly before making a decision, as there can be significant differences between providers. Compare the policies carefully: What benefits are included? Which illnesses does the insurance exclude? Avoid policies with an abstract referral clause. Otherwise, you risk not receiving an occupational disability pension.

How much does income protection insurance cost?

The premium depends on your occupation, age, state of health and the pension amount. It is worth comparing options. Pay attention not only to the price, but also to the scope of cover.

Income protection insurance may be tax-deductible. You can obtain information on this from local tax authorities, tax advisors and income tax assistance associations. Bafin does not provide advice on tax matters.

What information is the provider required to make available?

- **Product information sheet**
  This summarises the key details of the policy, such as insurance cover, premiums and termination periods. The premium, acquisition and distribution costs, administrative costs and other costs must also be stated in euros.
- **Customer information:**
  This includes information about the insurer, the benefits, the contract and your rights.
- **General insurance policy conditions**
  These govern the details of income protection insurance.

What can I do if I no longer want income protection insurance?

You can terminate your income protection insurance or suspend your premium payments. You will find the exact provisions for this in the general insurance policy conditions or the terms and conditions for supplementary income protection insurance.

How are insurers that offer income pro-

tection insurance supervised?

Bafin supervises insurers that have their registered office in Germany and monitors all of their business operations. We ensure that the legal and financial interests of all insured persons are safeguarded. In order to protect the interests of insured persons, Bafin accepts and processes your complaints about individual insurers. However, we cannot enforce your individual rights – that is the responsibility of the courts.

Where can I find more information?

- From insurance companies, who can provide information about the contractual terms and the scope of insurance cover they offer
- Consumer organisations and consumer protection organisations – see contact details on the website of the consumer organisations
- On the website of the German Insurance Association (Gesamtverband der Deutschen Versicherungswirtschaft e. V.)
- In specialist media

Further questions & answers about income protection insurance

When should I notify my insurer of my occupational disability?

There is no statutory deadline, but the terms of the policy usually stipulate a notification period. In practice, immediate notification is often required. This means that you must not culpably delay reporting the matter once you become aware of your occupational disability. Prompt notification is also in your own interest, as the start date of your occupational disability pension may be postponed if your claim is submitted late.

When does the income protection insurance pay out?

The insurer will pay out as soon as it has reviewed all the documents. This requires a reasonable processing time, which varies from case to case. In case of doubt, a court will decide.

The most important factor here is the agreed forecast period, meaning the expected duration of the occupational disability. This can range from three months to three years. The longer the period, the more difficult it is for the doctor to certify that the occupational disability is likely to persist.

My income protection insurance is constantly requesting new medical reports from me. Is that legal?

The insurer is entitled to check whether the conditions for the occupational disability pension have been met. Often, this can only be done with expert opinions from medical professionals. That is why you must submit the reports from your doctors.

The insurer may also request further examinations by doctors it has appointed at its own expense. Once the obligation to pay benefits has been established, the insurer may at any time request relevant information and, once a year, comprehensive examinations by its doctors.

Can I take out multiple income protection insurance policies with one or more providers?

Income protection insurance protects you from financial loss if you lose your ability to work, either fully or partially, due to an accident or illness. In the event of occupational disability, the cover should always be commensurate with your income. As a rule, the cover is considered appropriate if the monthly occupational disability pension does not exceed around 60% of your monthly gross income.

It does not matter how many policies this benefit is spread across. You can therefore, in principle, take out several policies. To avoid over-insurance, the insurer will usually ask about any other existing policies before the contract is signed. The aim is to safeguard your standard of living, possibly with some restrictions.

Additional information

Notes on product information

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